Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

24.1 Forms of Trade Barriers

- A **trade barrier** refers to any form of governmental regulation that restricts or discourages international trade.
- Some common forms of trade barriers:

Form of trade barrier	Explanation
Tariff	A tax levied on imported goods.
Import quota	A maximum limit set on the quantity of a good that can be imported to a country in a given period of time.
Embargo	A legal prohibition of trade with a particular country.
Production subsidy	A financial aid granted by a government to exporters or producers in import-competing industries.
Exchange control	A government restriction on private transactions of foreign currencies.

24.2 Economic Effects of Free Trade on a Small Open Economy

- Meaning of a small economy
  - A **small importing open economy** refers to an economy that engages in international trade, but its imports only account for a very small proportion of the world market.
  - Any change in its quantity imported **will not affect the world price of the imported goods**.
  - It is a **price taker** of the world price.
  - The world supply curve faced by it is horizontal.
- Situation without international trade
  - The market equilibrium is determined by domestic demand and domestic supply.

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- Situation with **free trade**
  - The supply curve faced by a small importing country with free trade:
    - Suppose the world price (P_w) is lower than the equilibrium price before trade (P_0).
    - The supply curve with free trade:
      - is upward-sloping when the domestic price is below P_w; and
      - becomes horizontal at P_w.
  - Effects of free trade on price and quantities:

	Change as a result of free trade
Domestic price	decreases
Domestic consumption	increases
Domestic production	decreases

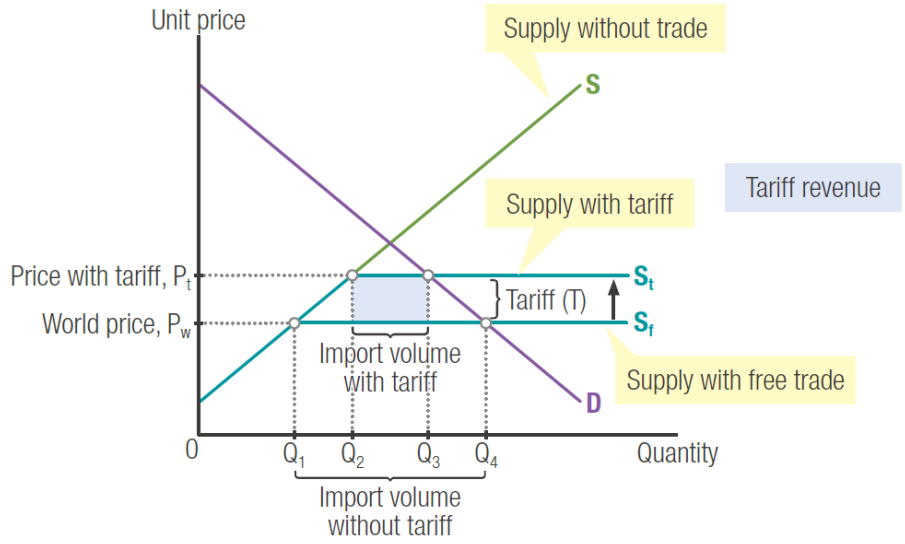
Consumers are better off with cheaper goods but domestic producers are worse off.

24.3 Economic Effects of a Tariff on a Small Open Economy

- Effects of a tariff on the supply curve
  - The domestic price of the imported goods increases from P_w by the amount of the tariff (T) to P_t (= P_w + T).
  - The supply curve with tariff is **upward sloping initially and becomes horizontal** at P_t.
- Effects of a tariff on price and quantities

	Change as a result of tariff
Domestic price	increases
Domestic consumption	decreases
Domestic production	increases
Quantity of imports	decreases
Tariff revenue	Unit tariff × Quantity of imports

The effect of imposing a tariff on consumers' total expenditure on the good is uncertain, depending on the price elasticity of demand.



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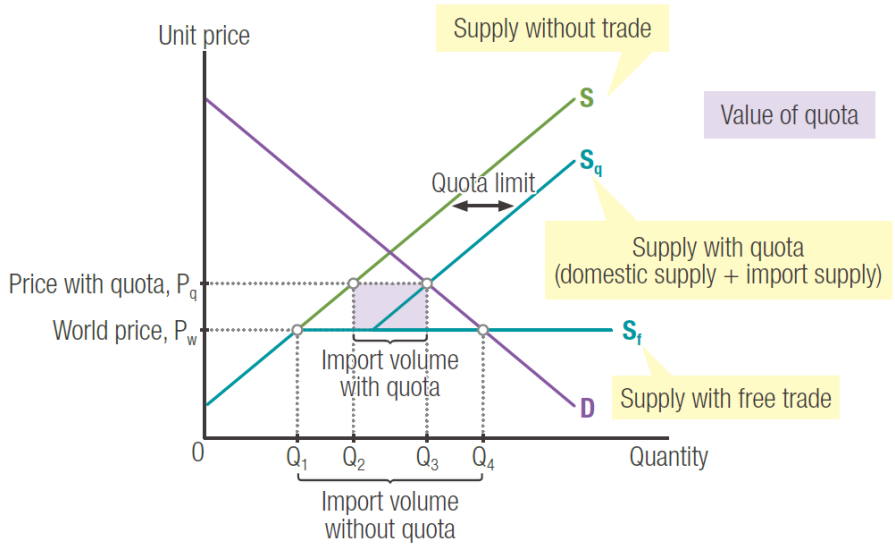
24.4 Economic Effects of a Quota on a Small Open Economy

- Effect of an import quota on the supply curve
  - **The supply curve becomes kinked.**
  - At any domestic price below P_w, the supply curve faced by consumers is the same as the domestic supply curve.
  - The **horizontal segment of the curve represents the amount of quota**.
  - When the domestic price is equal to or higher than P_w, the quantity supplied of the good is the domestic production plus the quota limit.
- Effects of an import quota on price and quantities

	Change as a result of an import quota
Domestic price	increases
Domestic consumption	decreases
Domestic production	increases
Quantity of imports	decreases
Value of quota	Difference between the domestic price and the world price × Quantity of imports

- Distribution of the value of an import quota
  - How this gain is distributed **depends on how the government allocates the import quota**.

The effect of lowering a quota limit on the value of the quota is uncertain, depending on the price elasticity of demand.



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24.5 Tariff versus Quota

	Tariff	Quota
Ways to restrict import quantity	• driving up prices of imported goods to reduce the quantities imported	• restricting the supply of imported goods directly • more certain and precise than tariff in restricting the import quantity to specific amounts
Distribution of gains	• the government of the importing country gains in the form of tariff revenue.	• gains usually go to foreign producers or importers of goods resulting form the increase in prices
Productive efficiency and long term prices	• all foreign producers are treated equally. • only the most efficient producers can survive in the long term	• the most efficient producers with the lowest production costs may not obtain the quotas • the importing country may suffer from higher prices and lower quality of imported goods.

24.6 Hong Kong's Attempts to Overcome Trade Barriers

- Trade barriers faced by Hong Kong
  - Anti-dumping duty
  - Technical barriers to trade
  - Safeguard measures
- Hong Kong's measures to overcome trade barriers
  - Relocating outward processing to other countries
  - Market diversification
  - Producing high value added products
- Role of the HKSAR Government
  - improve infrastructure, product quality and productivity
  - reduce trade restrictions through international negotiations
  - set up different institutions to promote trade, e.g. Hong Kong Trade Development Council (HKTDC), Trade and Industry Department and Hong Kong Productivity Council (HKPC)
- Roles of international economic institutions
  - World Trade Organization (WTO)
    - ensures that international trade is conducted in a fair and equitable manner
    - establishes a mechanism for settling trade disputes
    - promotes trade liberalisation and the growth of international trade
  - Asia-Pacific Economic Cooperation (APEC)
    - reduces tariffs and remove other barriers to promote free trade
    - facilitates business interaction between member economies

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